OFFERING MEMORANDUM

Raven Falcon Commons | Hartford, CT

Property	Raven Falcon Commons
Location	5320 Grand Parkway, Hartford, CT 34896
Property Type	Multifamily
Size	191 apartment homes
Year Built	1967
Offering	Unpriced - Offers Due October 30, 2020

Investor Distributions

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 4.1% with an equity multiple of 1.14x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 6.0% on contributed capital.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 6.8% on contributed capital. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Market Overview

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 5.4% annually over the past 9 years. Market vacancy for comparable Multifamily product stands at 9.8%, down from 6.0% two years ago.

Investor demand for Multifamily assets in Hartford remains strong with recent trades at capitalization rates between 6.48% and 6.48%. The Hartford Multifamily market has experienced absorption of 4800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Resident turnover has averaged 4.0% annually with renewal retention above 96.0%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Employment growth is led by healthcare, logistics, education and professional services sectors. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Business Plan Progress

Distributions to investors for the quarter were paid at an annualized rate of 3.8% on contributed capital. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 2.3% with an equity multiple of 1.20x over the hold period. Resident turnover has averaged 10.7% annually with renewal retention above 89.4%.

Demographics and Employment

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Resident turnover has averaged 2.5% annually with renewal retention above 94.2%. Market vacancy for comparable Multifamily product stands at 8.8%, down from 3.1% two years ago. Rent growth in the submarket has averaged 3.9% annually over the past 12 years. The Hartford Multifamily market has experienced absorption of 700 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Investor demand for Multifamily assets in Hartford remains strong with recent trades at capitalization rates between 5.90% and 5.90%.

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Investment Overview

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Projected levered IRR is 4.5% with an equity multiple of 1.38x over the hold period.

Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. Resident turnover has averaged 3.3% annually with renewal retention above 93.4%. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 6.3% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Submarket Analysis

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Market vacancy for comparable Multifamily product stands at 5.1%, down from 5.6% two years ago. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 6.6% annually over the past 8 years. Employment growth is led by healthcare, logistics, education and professional services sectors. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Raven Falcon Commons is located in Hartford, CT, a market that has recorded 9.7% population growth over the last five years. Resident turnover has averaged 11.7% annually with renewal retention above 91.9%. Investor demand for Multifamily assets in Hartford remains strong with recent trades at capitalization rates between 6.21% and 6.21%. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Investor Distributions

Projected levered IRR is 2.8% with an equity multiple of 1.17x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Resident turnover has averaged 11.0% annually with renewal retention above 88.2%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Projected levered IRR is 12.1% with an equity multiple of 1.39x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Market Overview

Raven Falcon Commons is located in Hartford, CT, a market that has recorded 5.1% population growth over the last five years. Median household income within a 9-mile radius of the property is approximately $417,000 and has grown 5.5% annually. Resident turnover has averaged 6.5% annually with renewal retention above 96.0%. Employment growth is led by healthcare, logistics, education and professional services sectors. Investor demand for Multifamily assets in Hartford remains strong with recent trades at capitalization rates between 5.42% and 5.42%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Investor demand for Multifamily assets in Hartford remains strong with recent trades at capitalization rates between 5.38% and 5.38%. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 3.9% annually over the past 9 years.

Investor Distributions

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Banyan Villas	Norfolk, VA	07/08/2023	233	$22,919,054	$119,995	8.06%	1987
Everett Residences	Buffalo, NY	01/24/2024	234	$30,862,100	$161,582	5.71%	1980
Everett Terrace	Savannah, GA	09/16/2024	219	$18,751,862	$98,177	6.25%	1985
Cedar Terrace	Boston, MA	03/27/2026	238	$29,749,251	$155,755	5.46%	2022
Garnet Residences	Austin, TX	01/24/2024	152	$32,617,139	$170,770	6.32%	2011
Beacon Villas	Chicago, IL	08/18/2024	281	$33,841,152	$177,179	7.59%	1996
Onyx Terrace	Atlanta, GA	12/14/2022	265	$31,447,480	$164,646	6.29%	2018
Crestline Apartments	Naperville, IL	06/12/2026	216	$14,325,413	$75,002	5.77%	1980
Aspen Flats	Raleigh, NC	08/01/2025	123	$26,536,953	$138,937	6.43%	2006
Aspen Villas	Austin, TX	10/16/2022	143	$23,632,520	$123,730	5.54%	1996
Glenview Residences	Phoenix, AZ	12/15/2025	273	$14,741,720	$77,182	7.26%	1983
Osprey Villas	Seattle, WA	07/27/2026	175	$16,562,492	$86,715	8.02%	1977
Calloway Residences	Portland, OR	11/08/2024	241	$23,227,510	$121,610	5.72%	2019
Whitaker Lofts	Salt Lake City, UT	06/11/2023	240	$27,736,114	$145,215	5.73%	1997
Falcon Residences	Hartford, CT	11/04/2025	272	$32,776,241	$171,603	6.94%	2022
Eastlake Villas	Grand Rapids, MI	07/15/2025	97	$25,384,069	$132,901	7.72%	2012
Alder Commons	Charlotte, NC	06/02/2025	171	$29,178,003	$152,764	7.54%	2004
Granite Apartments	Salt Lake City, UT	07/16/2025	104	$24,022,978	$125,775	7.31%	2008
Saddlebrook Terrace	Milwaukee, WI	06/14/2026	284	$17,155,171	$89,818	5.21%	1974
Ashford Flats	Sacramento, CA	03/14/2025	181	$31,125,496	$162,961	7.82%	1971
Yarrow Lofts	Albany, NY	05/30/2023	161	$12,268,681	$64,234	5.34%	1995
Harbor Terrace	Richmond, VA	09/26/2022	100	$32,852,286	$172,001	7.33%	1997
Maple Villas	Memphis, TN	10/04/2024	223	$13,223,472	$69,233	6.72%	2012
Valley Residences	Nashville, TN	09/05/2023	177	$22,571,305	$118,174	7.59%	1982
Fairmont Terrace	Kansas City, MO	02/01/2024	256	$18,741,811	$98,125	6.17%	1978
Jasper Flats	Philadelphia, PA	09/18/2022	247	$28,614,214	$149,813	5.28%	1968
Lantern Lofts	Memphis, TN	03/15/2024	278	$24,484,920	$128,193	6.04%	1986
Sterling Apartments	Albany, NY	04/23/2024	168	$14,052,874	$73,575	6.84%	1971
Kestrel Apartments	Columbus, OH	05/08/2025	137	$13,221,277	$69,221	5.62%	1973
Verde Terrace	Raleigh, NC	12/23/2024	113	$11,871,802	$62,156	5.55%	2000
Harbor Apartments	Phoenix, AZ	04/26/2026	238	$35,138,898	$183,973	5.93%	2002
Cedar Terrace	Detroit, MI	06/10/2022	150	$12,403,889	$64,942	6.21%	2002
Thornton Commons	Raleigh, NC	03/05/2024	276	$17,920,812	$93,826	5.38%	2013
Yarrow Villas	San Diego, CA	07/05/2022	115	$38,938,637	$203,867	6.58%	1965
Harbor Lofts	Kansas City, MO	01/19/2022	235	$22,722,542	$118,966	5.18%	1976
Northgate Flats	Riverside, CA	08/03/2024	249	$32,967,238	$172,603	6.62%	1988
Birchwood Commons	Tampa, FL	01/18/2024	132	$30,260,319	$158,431	5.86%	2021
Onyx Flats	Boise, ID	06/23/2025	209	$22,210,504	$116,285	6.19%	2013
Pelican Commons	Allentown, PA	11/03/2025	172	$28,778,883	$150,675	7.54%	1996
Dunmore Residences	San Antonio, TX	03/08/2025	221	$26,679,507	$139,683	6.11%	1991

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Improvements Description

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Raven Falcon Commons was originally constructed in 1967 and consists of 191 apartment homes in a building of 44 stories. Common area interiors have been refreshed within the last 11 years and are in average to good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. The roof is a 26-year membrane system with an estimated remaining useful life of 3 years.

Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $206,000 or approximately 28.38 per square foot, with real estate taxes representing the largest line item. Resident turnover has averaged 3.5% annually with renewal retention above 92.6%. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Debt service coverage ratio was 7.03x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $231,000 or approximately 35.91 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $366,000, representing a 4.4% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Improvements Description

Raven Falcon Commons was originally constructed in 1967 and consists of 191 apartment homes in a building of 47 stories. Common area interiors have been refreshed within the last 8 years and are in average to good condition. The roof is a 11-year membrane system with an estimated remaining useful life of 12 years. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. Common area interiors have been refreshed within the last 4 years and are in average to good condition.

Financial Analysis

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Management fees are calculated at 4.2% of collected revenue and are included in operating expenses. Operating expenses totaled $110,000 or approximately 19.86 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $28,000, representing a 12.7% increase over the prior year.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Net operating income is projected to grow at a compound annual rate of 5.8% over the hold period. Management fees are calculated at 4.8% of collected revenue and are included in operating expenses. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Improvements Description

Common area interiors have been refreshed within the last 5 years and are in average to good condition. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 6.7% annually with renewal retention above 96.1%. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The roof is a 43-year membrane system with an estimated remaining useful life of 8 years.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Pinecrest Villas	2.5 mi	2016	Bay	$1,470.66	97.1%	None
Upland Villas	1.7 mi	2013	Suite	$1,080.30	88.9%	$500
Saddlebrook Residences	0.3 mi	2013	Unit	$1,318.04	86.7%	None
Verde Residences	3.7 mi	2003	2BR	$1,151.48	96.7%	None
Garnet Terrace	4.3 mi	2020	Bay	$1,083.85	90.3%	None
Thornton Apartments	1.6 mi	2004	Studio	$1,143.91	87.4%	None
Dover Villas	4.6 mi	2022	Inline	$1,295.77	90.4%	None
Crestline Lofts	3.4 mi	2014	2BR	$1,282.89	97.8%	$500
Ashford Commons	2.9 mi	2023	Unit	$1,118.24	92.1%	1 mo. free
Bluestone Residences	4.9 mi	2009	1BR	$1,225.61	91.6%	$500
Willow Flats	2.9 mi	2010	Studio	$1,322.14	94.3%	None
Gatewood Terrace	1.9 mi	2004	Suite	$1,137.75	87.2%	None
Lantern Terrace	4.6 mi	2007	2BR	$1,318.62	89.8%	None
Alder Terrace	3.1 mi	1996	Bay	$1,082.12	93.4%	$500
Saddlebrook Villas	4.8 mi	1977	Inline	$1,070.94	93.1%	$500
Brookside Flats	1.1 mi	2023	2BR	$1,268.37	90.7%	1 mo. free
Kingsley Apartments	2.2 mi	1970	2BR	$1,205.76	89.1%	None
Cedar Residences	0.4 mi	1986	Bay	$1,067.84	91.8%	1 mo. free
Everett Lofts	4.8 mi	1978	Suite	$1,205.74	90.8%	None
Zephyr Apartments	2.2 mi	1978	2BR	$1,422.71	88.2%	None
Garnet Residences	3.1 mi	1977	Unit	$1,276.69	88.3%	None
Crestline Lofts	4.2 mi	1995	Inline	$1,075.80	92.9%	1 mo. free
Falcon Commons	0.5 mi	1971	Studio	$1,127.86	87.4%	None
Ashford Apartments	4.9 mi	2018	Bay	$1,488.93	91.4%	1 mo. free
Birchwood Commons	4.9 mi	2006	1BR	$1,294.76	93.7%	None
Vista Terrace	1.5 mi	2002	1BR	$1,222.48	94.0%	None
Ridgeline Flats	0.7 mi	2016	2BR	$1,490.89	89.9%	None
Northgate Residences	3.4 mi	1982	Bay	$1,224.35	86.0%	1 mo. free
Alder Commons	1.8 mi	1970	Bay	$1,291.97	90.9%	None
Indigo Apartments	4.6 mi	2006	Studio	$1,420.09	97.4%	None
Laurel Villas	3.5 mi	1997	2BR	$1,201.51	96.4%	None
Quarry Apartments	4.6 mi	1977	Suite	$1,477.27	91.8%	None
Everett Residences	3.9 mi	1980	Studio	$1,329.98	88.0%	1 mo. free
Willow Villas	3.7 mi	2005	Inline	$1,355.46	96.1%	1 mo. free
Driftwood Residences	3.4 mi	1991	Suite	$1,264.12	96.6%	1 mo. free
Meridian Flats	3.3 mi	2018	Studio	$1,077.44	95.0%	None
Lantern Lofts	1.6 mi	2010	Bay	$1,330.94	87.2%	1 mo. free
Vista Flats	3.3 mi	1974	Inline	$1,320.70	93.5%	$500
Marlow Terrace	3.1 mi	2006	1BR	$1,174.95	96.7%	None
Yarrow Terrace	4.2 mi	2011	Suite	$1,386.42	95.5%	1 mo. free
Aspen Villas	2.9 mi	2000	2BR	$1,414.66	89.1%	None
Dover Residences	2.0 mi	2003	Bay	$1,258.24	95.4%	None
Heritage Flats	3.6 mi	1988	2BR	$1,347.42	91.3%	$500

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Leasing and Marketing

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 9.3% annually with renewal retention above 88.6%. Service requests are tracked through a work-order system with an average completion time of 36 hours. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Demographics and Employment

Resident turnover has averaged 6.3% annually with renewal retention above 92.9%. Investor demand for Multifamily assets in Hartford remains strong with recent trades at capitalization rates between 5.16% and 5.16%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Market vacancy for comparable Multifamily product stands at 8.3%, down from 6.1% two years ago. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet.

Resident turnover has averaged 7.1% annually with renewal retention above 89.8%. The Hartford Multifamily market has experienced absorption of 1400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Investor demand for Multifamily assets in Hartford remains strong with recent trades at capitalization rates between 7.25% and 7.25%. Raven Falcon Commons is located in Hartford, CT, a market that has recorded 3.8% population growth over the last five years. Market vacancy for comparable Multifamily product stands at 4.4%, down from 3.9% two years ago.

Leasing and Marketing

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 19 additional team members. Service requests are tracked through a work-order system with an average completion time of 3 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Collections for the period were 92.8% of billed charges, with bad debt of 6.8% of gross potential income. Resident turnover has averaged 4.8% annually with renewal retention above 90.8%. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 39 additional team members.

Submarket Analysis

Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. Resident turnover has averaged 11.7% annually with renewal retention above 90.9%. Median household income within a 5-mile radius of the property is approximately $39,000 and has grown 13.2% annually. Rent growth in the submarket has averaged 6.4% annually over the past 9 years.

Market vacancy for comparable Multifamily product stands at 14.0%, down from 7.5% two years ago. The Hartford Multifamily market has experienced absorption of 4400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 6.1% annually with renewal retention above 89.1%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Investor demand for Multifamily assets in Hartford remains strong with recent trades at capitalization rates between 5.12% and 5.12%.

Management Commentary

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Business Plan Progress

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 6.7% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Projected levered IRR is 12.8% with an equity multiple of 1.4x over the hold period. Resident turnover has averaged 7.3% annually with renewal retention above 95.4%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Demographics and Employment

Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Multifamily product stands at 3.0%, down from 7.1% two years ago. Median household income within a 6-mile radius of the property is approximately $245,000 and has grown 6.1% annually. Resident turnover has averaged 5.6% annually with renewal retention above 93.0%.

Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. The Hartford Multifamily market has experienced absorption of 2500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Market vacancy for comparable Multifamily product stands at 7.4%, down from 7.3% two years ago. Rent growth in the submarket has averaged 4.7% annually over the past 7 years. Median household income within a 7-mile radius of the property is approximately $89,000 and has grown 11.2% annually. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Risk Considerations

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Resident turnover has averaged 6.0% annually with renewal retention above 92.0%. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Resident turnover has averaged 4.1% annually with renewal retention above 96.2%. Distributions to investors for the quarter were paid at an annualized rate of 4.2% on contributed capital. Projected levered IRR is 6.7% with an equity multiple of 1.2x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Demographics and Employment

The Hartford Multifamily market has experienced absorption of 3700 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors. Raven Falcon Commons is located in Hartford, CT, a market that has recorded 13.9% population growth over the last five years. Rent growth in the submarket has averaged 4.5% annually over the past 9 years.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Investor demand for Multifamily assets in Hartford remains strong with recent trades at capitalization rates between 7.25% and 7.25%. Resident turnover has averaged 3.8% annually with renewal retention above 88.1%. Market vacancy for comparable Multifamily product stands at 7.1%, down from 6.6% two years ago.

Investor Distributions

Distributions to investors for the quarter were paid at an annualized rate of 7.2% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 8.5% with an equity multiple of 1.37x over the hold period. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Zephyr Villas	Philadelphia, PA	02/25/2026	122	$38,103,725	$199,496	5.20%	1977
Lockwood Flats	Phoenix, AZ	03/19/2022	185	$38,139,908	$199,685	7.32%	2015
Keystone Flats	Philadelphia, PA	07/15/2026	97	$31,231,715	$163,517	5.33%	2021
Fairmont Villas	Des Moines, IA	01/08/2024	121	$12,689,712	$66,438	5.52%	2003
Banyan Commons	Salt Lake City, UT	08/03/2024	180	$19,663,736	$102,951	7.68%	1989
Windmill Terrace	Cincinnati, OH	05/01/2025	108	$27,029,742	$141,517	7.45%	1984
Canyon Villas	Atlanta, GA	08/23/2026	117	$23,983,370	$125,567	7.19%	1967
Cedar Lofts	Detroit, MI	08/02/2026	157	$25,858,563	$135,385	6.19%	1970
Dover Flats	Newark, NJ	08/27/2026	226	$18,594,699	$97,354	7.32%	1972
Crestline Apartments	Phoenix, AZ	08/26/2022	186	$19,265,818	$100,868	7.09%	1967
Westgate Residences	Greenville, SC	02/12/2023	159	$29,834,912	$156,204	6.97%	1968
Kestrel Terrace	Buffalo, NY	03/06/2022	184	$36,811,203	$192,729	7.57%	1968
Copper Villas	Baltimore, MD	07/28/2022	132	$35,559,426	$186,175	7.77%	1977
Juniper Apartments	Austin, TX	06/28/2024	140	$12,971,954	$67,916	6.88%	1977
Yarrow Residences	Milwaukee, WI	04/13/2026	260	$33,553,306	$175,672	7.13%	2012
Yarrow Commons	Norfolk, VA	06/19/2026	219	$31,740,973	$166,183	7.70%	1968
Valley Villas	Aurora, CO	11/27/2023	161	$29,959,496	$156,856	5.32%	1986
Newport Commons	Allentown, PA	09/11/2022	172	$24,961,510	$130,689	5.69%	1979
Alder Terrace	Richmond, VA	07/02/2023	266	$28,915,165	$151,388	6.78%	2005
Redwood Villas	Portland, OR	04/08/2022	167	$28,724,871	$150,392	6.63%	2022
Raven Lofts	Chicago, IL	02/08/2025	277	$23,702,341	$124,096	5.18%	2019
Summit Flats	Kansas City, MO	12/06/2022	284	$34,113,765	$178,606	6.05%	1986
Parkview Commons	Albuquerque, NM	11/05/2023	209	$31,722,861	$166,088	6.32%	1970
Thornton Lofts	Minneapolis, MN	05/04/2024	180	$13,099,881	$68,586	7.19%	1988
Kestrel Residences	Grand Rapids, MI	09/26/2022	250	$19,534,455	$102,275	6.32%	1968
Sterling Commons	Des Moines, IA	01/01/2023	102	$33,392,243	$174,828	7.33%	1991
Sterling Commons	Chicago, IL	09/08/2022	127	$18,461,939	$96,659	6.30%	1979
Onyx Villas	San Antonio, TX	05/01/2023	216	$27,236,034	$142,597	5.22%	2016
Timberline Flats	Columbus, OH	11/01/2025	231	$21,200,196	$110,996	7.24%	1988
Eastlake Villas	Boston, MA	06/01/2026	159	$23,296,827	$121,973	6.46%	2007
Hollis Flats	Des Moines, IA	02/24/2023	223	$27,893,034	$146,037	7.41%	2018
Osprey Flats	Albuquerque, NM	06/20/2026	127	$26,452,755	$138,496	5.92%	1990
Wexford Residences	Greenville, SC	10/26/2025	266	$24,604,137	$128,817	6.60%	1968
Ironwood Residences	San Antonio, TX	04/23/2026	96	$14,504,225	$75,938	6.38%	2023
Everett Terrace	Denver, CO	08/04/2024	258	$19,733,548	$103,317	5.63%	1973
Newport Commons	Indianapolis, IN	08/05/2023	96	$36,315,555	$190,134	5.52%	2021
Cobalt Terrace	Riverside, CA	12/10/2024	113	$16,076,899	$84,172	6.01%	2016
Copper Terrace	Atlanta, GA	01/10/2023	128	$11,977,523	$62,710	7.34%	1988
Cobalt Lofts	Richmond, VA	04/07/2026	130	$14,626,353	$76,578	6.05%	1981
Jasper Villas	Chicago, IL	11/17/2023	106	$18,139,692	$94,972	6.33%	2015
Hollis Terrace	Austin, TX	04/26/2026	275	$16,801,829	$87,968	7.48%	1994
Pinecrest Terrace	Raleigh, NC	03/07/2024	206	$13,360,187	$69,949	6.70%	1976
Crestline Villas	Chicago, IL	10/06/2024	241	$22,083,103	$115,618	7.32%	2021

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Improvements Description

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Raven Falcon Commons was originally constructed in 1967 and consists of 191 apartment homes in a building of 11 stories. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The roof is a 47-year membrane system with an estimated remaining useful life of 4 years. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. Resident turnover has averaged 13.9% annually with renewal retention above 89.6%. Common area interiors have been refreshed within the last 12 years and are in average to good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 3.9% over the hold period. Management fees are calculated at 7.7% of collected revenue and are included in operating expenses. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. Resident turnover has averaged 7.8% annually with renewal retention above 90.8%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Operating expenses totaled $327,000 or approximately 31.96 per square foot, with real estate taxes representing the largest line item.

Resident turnover has averaged 2.7% annually with renewal retention above 92.9%. Debt service coverage ratio was 6.65x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.73% reflects the in-place income and the stabilized occupancy assumption. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet.

Construction Details

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Resident turnover has averaged 2.9% annually with renewal retention above 92.9%. Mechanical systems include rooftop package units and central plant equipment of varying age. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. The roof is a 6-year membrane system with an estimated remaining useful life of 7 years. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Valuation Discussion

Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. Resident turnover has averaged 7.0% annually with renewal retention above 93.9%. The going-in capitalization rate of 5.95% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $218,000 or approximately 38.49 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.15x on a trailing basis against a covenant minimum of 1.20x.

Effective gross income for the trailing period was $18,000, representing a 2.6% increase over the prior year. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. Net operating income is projected to grow at a compound annual rate of 3.6% over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Operating expenses totaled $161,000 or approximately 34.60 per square foot, with real estate taxes representing the largest line item.

Building Systems

The roof is a 26-year membrane system with an estimated remaining useful life of 4 years. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Windmill Commons	2.3 mi	2017	Studio	$1,334.49	96.9%	None
Garnet Lofts	0.8 mi	1971	2BR	$1,194.96	94.4%	1 mo. free
Newport Terrace	4.1 mi	1985	Suite	$1,080.69	95.3%	None
Sable Apartments	4.2 mi	1971	Inline	$1,213.55	89.2%	1 mo. free
Calloway Apartments	0.4 mi	1997	Studio	$1,424.74	94.8%	1 mo. free
Granite Lofts	2.8 mi	1971	Bay	$1,289.41	86.2%	1 mo. free
Timberline Lofts	3.6 mi	2021	Bay	$1,291.55	96.7%	$500
Valley Residences	3.9 mi	2019	Unit	$1,396.92	95.3%	1 mo. free
Highland Apartments	4.8 mi	2019	Suite	$1,134.91	94.5%	None
Brookside Flats	1.3 mi	1990	1BR	$1,234.38	92.2%	1 mo. free
Eastlake Residences	2.1 mi	2022	Inline	$1,369.34	92.2%	$500
Union Apartments	2.0 mi	2002	Unit	$1,193.12	87.5%	None
Fairmont Terrace	0.7 mi	2017	1BR	$1,331.02	90.4%	$500
Foxglove Lofts	0.3 mi	2020	Inline	$1,321.43	95.8%	1 mo. free
Elmhurst Terrace	0.8 mi	1973	Studio	$1,360.11	94.4%	None
Tidewater Flats	4.1 mi	2002	Suite	$1,238.26	87.9%	1 mo. free
Northgate Commons	1.7 mi	2016	Unit	$1,424.81	91.4%	None
Eastlake Flats	1.9 mi	1986	Suite	$1,187.03	96.6%	$500
Sterling Apartments	3.7 mi	1970	1BR	$1,434.95	94.9%	1 mo. free
Sterling Terrace	2.8 mi	1972	1BR	$1,095.36	94.9%	$500
Fairmont Villas	1.5 mi	2004	1BR	$1,293.19	91.9%	1 mo. free
Driftwood Residences	3.2 mi	2019	Studio	$1,384.07	88.5%	1 mo. free
Meridian Commons	2.2 mi	1990	2BR	$1,119.39	96.7%	None
Magnolia Residences	3.1 mi	1974	Inline	$1,448.15	87.6%	1 mo. free
Willow Apartments	3.2 mi	1993	Unit	$1,137.31	97.0%	None
Cedar Commons	0.5 mi	1989	2BR	$1,202.77	97.7%	1 mo. free
Hawthorne Lofts	1.3 mi	1985	Inline	$1,257.59	91.5%	None
Summit Commons	2.0 mi	2000	Bay	$1,374.58	97.6%	$500
Fairmont Apartments	1.1 mi	1985	2BR	$1,452.79	92.0%	$500
Parkview Flats	2.0 mi	1996	Bay	$1,272.61	95.2%	None
Amberly Terrace	3.9 mi	1994	Studio	$1,314.06	86.9%	None
Amberly Terrace	4.4 mi	2007	1BR	$1,361.91	92.1%	$500
Tidewater Commons	2.9 mi	1973	Studio	$1,332.27	93.4%	None
Pelican Villas	3.8 mi	1985	Studio	$1,213.03	97.5%	None
Kingsley Residences	2.5 mi	1983	1BR	$1,429.90	97.9%	1 mo. free
Heritage Villas	2.7 mi	1991	2BR	$1,182.42	89.0%	1 mo. free
Sable Apartments	2.7 mi	1982	Bay	$1,346.21	88.2%	None
Timberline Residences	4.5 mi	1980	Inline	$1,382.00	94.3%	1 mo. free
Copper Flats	1.6 mi	2014	2BR	$1,315.93	91.7%	1 mo. free
Lockwood Apartments	2.1 mi	1987	Studio	$1,412.48	89.0%	None
Lantern Apartments	0.3 mi	1973	1BR	$1,087.02	87.8%	None
Redwood Villas	3.1 mi	2016	Inline	$1,190.69	87.9%	None

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Property Operations

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Resident turnover has averaged 12.3% annually with renewal retention above 94.9%. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 10 additional team members.

Resident turnover has averaged 4.2% annually with renewal retention above 90.1%. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 19 additional team members. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Submarket Analysis

Market vacancy for comparable Multifamily product stands at 8.2%, down from 6.2% two years ago. Raven Falcon Commons is located in Hartford, CT, a market that has recorded 3.1% population growth over the last five years. The Hartford Multifamily market has experienced absorption of 2800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Median household income within a 7-mile radius of the property is approximately $228,000 and has grown 3.3% annually. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet.

Market vacancy for comparable Multifamily product stands at 13.8%, down from 6.3% two years ago. Rent growth in the submarket has averaged 3.4% annually over the past 4 years. Median household income within a 4-mile radius of the property is approximately $105,000 and has grown 6.4% annually. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Raven Falcon Commons is located in Hartford, CT, a market that has recorded 10.9% population growth over the last five years. The Hartford Multifamily market has experienced absorption of 4400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Property Operations

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 42 additional team members. Collections for the period were 94.1% of billed charges, with bad debt of 7.3% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 16th business day.

Service requests are tracked through a work-order system with an average completion time of 3 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 91.8% of billed charges, with bad debt of 7.4% of gross potential income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 41th business day.

Submarket Analysis

Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Raven Falcon Commons is located in Hartford, CT, a market that has recorded 2.6% population growth over the last five years. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Multifamily assets in Hartford remains strong with recent trades at capitalization rates between 6.26% and 6.26%.

Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Rent growth in the submarket has averaged 3.3% annually over the past 5 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Multifamily assets in Hartford remains strong with recent trades at capitalization rates between 6.29% and 6.29%.

Property Operations

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Disclaimer and Confidentiality

Time is of the essence with respect to each and every provision of this instrument. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of CT. This document relates solely to Raven Falcon Commons and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of CT. This document relates solely to Raven Falcon Commons and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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